Calgro M3 Holdings Limited (JSE: CGR) Equity Research Report - May 2026

TICKER CGR | JSE	**SECTOR** Real Estate	**MARKET CAP** ~R480m	**RECOMMENDATION** BUY
CURRENT PRICE 430 ZAc	**TANGIBLE NAV/SHARE** 1,262 ZAc	**DISCOUNT TO NAV** 65.9%	**TIME HORIZON** 3–5 Years
52-WEEK HIGH 570 ZAc	**52-WEEK LOW** 417 ZAc	**P/E RATIO** 2.57x	**EV/EBITDA** 11.79x
EPS (FY2026) 167.4 ZAc	**NET DEBT** R1.20bn	**NET DEBT / EBITDA** 5.77x	**INTEREST COVERAGE** 3.93x

PROBABILISTIC PRICE TARGETS - 36-MONTH MONTE CARLO (1,000 PATHS)

P10 - BEAR CASE 241 ZAc	**P50 - BASE CASE** 557 ZAc	**P75 - TARGET** 853 ZAc	**P90 - BULL CASE** 1,265 ZAc

Calgro M3 (JSE: CGR) has structurally transitioned from a traditional construction contractor into a full-lifecycle township developer, specialising in Integrated Residential Developments (IRD) and private Memorial Parks across South Africa. The group's long-term growth thesis is anchored by its flagship Bankenveld District Project, a mega-development projected to yield R18 billion in gross lifetime revenue – a figure that is 37,5 times the group's current market capitalisation of R480 million and entirely unpriced by the market at current levels.

Operationally, the group has experienced deceleration in top-line revenue growth, followed by a recent stabilisation of +2.8% in revenue growth in FY2026, all while maintaining respectable underlying margins. As a a result Gross margin has deteriorated down 2,2% from FY2025 back to FY2024 levels though Net Profit margins remain healthy. This trajectory is a function of deliberate structural transitions and heavy capital reallocation, with management aggressively reallocating capital to seed the Bankenveld pipeline while navigating macroeconomic headwinds that necessitate careful project timing.

Market sentiment soured after the release of the latest financial statements (FY2026) triggering a derating that has pushed the stock to a 65.9% discount to its tangible net asset value (NAV). This discount reflects the market pricing in on the front-loaded capital expenditure for the initial phase of Bankenveld alongside the inevitable gestation period before that deployment generates compounding revenue streams. However, inside behaviour contradicts this pessimism as the firm exec continues a its series of open market share purchases indicating that those closer to the business consider the current price an attractive entry point

This analysis posits that the market is excessively discounting the group's fundamental risk-mitigation layers. By over-indexing near-term debt accumulation, consensus sentiment overlooks the highly predictable, cash-generative nature of Calgro's mature IRD projects and its Memorial Parks annuity segment - both of which floor downside risk by partially offsetting the Bankenveld capital outlay. The current pricing presents an asymmetric risk-reward profile for patient investors willing to absorb medium-term balance sheet friction while the flagship project gains operational velocity.

Recommendation: BUY - 3 to 5 year horizon. Current price: 430 Zac. Suggested entry range: 364 ZAc to 557 ZAc (P25 to P50). Target exit range: 557 ZAc to 853 ZAc (P50 to P75) over 3 to 5 years.

2. Company Profile

Sector: Property Development - Integrated Residential and Memorial Parks
JSE Ticker: CGR
Market Capitalisation: R480m
Core Business: Full-lifecycle township developer managing land acquisition, bulk infrastructure installation, unit construction, and transfer across affordable, social, and open-market housing precincts.
Operations: Primary concentration in Gauteng, with additional exposure in the Western Cape, Free State, and the North-West.

Calgro M3's transition from pure construction contractor to developer is strategically significant as the group now controls the entire operational chain, capturing margin at every stage from raw land through to title deed transfer. This vertical integration underpins the structural margin expansion seen across recent reporting periods and positions the group to benefit disproportionately from macro tailwinds as they materialise. Critically, this modelling structure means that firm revenue recognised in the income statement is always a lagging indicator as business activity such as servicing land, the installation of infrastructure and the construction of units, preceded income recognition by 18 to 36 months.

Hence, as a methodology note, this analyst will deliberately exclude a traditional discounted cash flow valuation (DCF). Given the project-based, lumpy revenue of property development a DCF would require growth, margin and terminal value assumptions so speculative as to produce false precision. Instead, a NAV-anchored analysis, project modelling reflecting the S-curved nature of cash flows in the sector and a probabilistic path simulation would reflect a more certain expectation – all of which detailed below

3. Key Projects and Cycle Positioning

Bankenveld District City: A mega-development joint venture with Eris Property Fund, located in Johannesburg North adjacent to the Marlboro Gautrain station between Sandton and Waterfall City. Projected 20,000 to 30,000 housing opportunities across affordable, social, and open-market precincts. Modelled on a conservative average selling price of R800,000 per unit, intensive infrastructure CAPEX is budgeted for the FY2026-2028 window.

Fleurhof and South Hills: Active IRD projects in Gauteng currently in their delivery and peak phases. These include the legacy Hill Estate, Grand Views, Skyline Views, and Olive Tree sub-developments. With a combined remaining pipeline of approximately R8.3 billion, these projects are generating positive cumulative free cash flow from the current period.

Memorial Parks: Six parks at varying stages of maturity - Nasrec, Fourways, Durbanville, Enokhutula, Rustenburg, and Platinum City. This segment provides an annuity income model scaling toward R150 million in steady-state annual revenue, becoming heavily cash-generative and capital-light once established.

Land Pipeline: Over 2,500 serviced land opportunities ready for development as of late 2025, providing a multi-year runway of identified projects beyond the current active portfolio.

4. Key Metrics

MARKET PRICE 430 ZAc	TANGIBLE NAV/SHARE 1,262 ZAc	DISCOUNT TO NAV 65.9%	EV/EBITDA 11.79x
TOTAL DEBT R1.38bn	NET DEBT R1.20bn	NET DEBT / EBITDA 5.77x	INTEREST COVERAGE 3.93x
CURRENT RATIO 2.02x	QUICK RATIO 0.87x	DEV ASSETS R2.56bn	DEV ASSETS / TOTAL 69.5%
P/E RATIO 2.57x	OPERATING MARGIN 19.1%	GROSS MARGIN 27.2%	RETURN ON EQUITY 10.7%

Valuation

At a P/E of 2.57x on FY2026 earnings, the market is pricing Calgro as a distressed asset. This is the single most striking valuation signal in the report. A developer with expanding gross margins, growing retained income of R1.54 billion, and a R18 billion gross revenue pipeline trading at 2.57x earnings is either severely mispriced or the market is pricing in a scenario where the development pipeline fails to convert. The J-curve analysis below directly addresses this question.

At a EV/EBITDA of 11.79x (FY2026), Calgro trades competitively relative to its historical averages, reflecting execution risk being priced into the multiple rather than deteriorating operating quality. With operating margins holding firm at 19.1%, the multiple compression is a function of timing rather than structural impairment.

Leverage

Net debt has risen to R1.20 billion in FY2026. At 5.77x EBITDA, this leverage level is highly elevated. The trajectory is the primary concern - debt is expanding (up R274.5m YoY) at the precise moment the group is executing its most capital-intensive phase. This is manageable provided the rate environment eases and Bankenveld revenue begins recognising by FY2028 as modelled.

The severe cash-coverage pressures seen in FY2025 have recovered. In FY2026, operating profit of R171m comfortably covers finance costs of R43.5m, yielding an improved interest coverage ratio of 3.93x. However, because the absolute gross debt load is large (R1.38 billion), the balance sheet remains heavily sensitive to the macro environment. Management has explicitly stated that a 100-basis point reduction in the repo rate is the threshold condition for materially de-risking debt serviceability.

Liquidity

The working capital deficit has inverted. The Current Ratio now stands at 2.02x (current assets of R801.5m against current liabilities of R396.6m). However, this is largely an accounting reclassification rather than a true liquidity windfall. R1.49 billion in development inventory was structurally shifted into non-current Construction Contracts to match the extended gestation of the Bankenveld pipeline. Stripping this out, the Quick Ratio sits at 0.87x, underscoring that near-term liquidity remains tight and heavily reliant on inventory conversion.

NAV per share and the Discount Framework

Understanding why the NAV discount exists, and why the current level is excessive, is central to the investment thesis.

Tangible book value stands at R1.41 billion. On the implied share base of 111.6 million shares derived from the R480m market cap at 430 cents, tangible NAV per share is approximately 1,262 cents. At 430 cents the stock trades at a 65.9% discount to tangible NAV.

A discount to NAV is structurally rational for a developer and should be expected for three reasons. First, development inventory is not liquid - it cannot be sold at book value today without a haircut. Second, IFRS

means that value created through servicing land and constructing infrastructure is not recognised in the income statement until title transfer - so NAV includes value that has not yet been realised as cash. Third, execution risk exists - a project could be delayed, costed incorrectly, or face external disruptions that reduce the eventual realised value.

The critical question is not whether a discount is appropriate - it is - but whether a 65.9% discount is appropriate given the specific quality of this pipeline. It is not, for three reasons. First, Fleurhof and South Hills are already generating positive cumulative free cash flow, demonstrating that the development model works and that NAV is converting to cash. Second, Memorial Parks is a proven annuity business with demographics-driven demand that is independent of interest rates and housing cycles - its NAV is arguably more reliable than most listed property. Third, the Bankenveld discount implies the market values the project at near zero despite a R2.1 billion construction contracts asset on the balance sheet confirming real progress. The discount will mechanically narrow as Bankenveld moves from infrastructure phase to first unit sales and that narrowing is the primary re-rating mechanism for the equity.

One honest constraint on this thesis: the discount will not close until the first Bankenveld units sell. Until that moment, the market will rationally apply a discount to unrecognised inventory. The question is timing - and that timing is rate-dependent.

Inventory to Total Assets

Combined Development Assets (Inventory plus Construction Contracts) currently represent 69.5% (R2.56 billion) of the R3.69 billion total asset base. This concentration is both the primary risk - inventory that fails to convert is a stranded asset - and the primary upside - as successful conversion at modelled margins produces returns well in excess of current market pricing.

Interest Rate Sensitivity

The table below illustrates the sensitivity of Calgro's interest coverage ratio and consumer affordability for a representative R800,000 Bankenveld unit to changes in the SARB repo rate, anchored to the current 6.75% baseline.

Repo Rate	Vs Current (6,75%	Estimated Interest Coverage	R800k Monthly Bond (Prime)
7,25%	+0,50%	3,39x	R 8,122
6,75%	Base case	3,93x	R7,853
6,25%	-0,50%	4,67x	R7,588
5,75%	-1,00%	5,76x	R7,327

Management stated that a 1% relief threshold maps directly to the 5.75% row. At this level, monthly repayments on an R800,000 unit fall to R7,327, materially expanding the addressable buyer pool for Bankenveld's open-market units and accelerating the probability of revenue recognition within the modelled FY2028-FY2030 window.

Capital Allocation: Dividends and Buybacks

During FY2026, Calgro declared dividends and conducted share buybacks totalling approximately R20.7 million, authorised under a programme of up to 20% of issued capital. While operating profit of R171m covers these distributions comfortably on an income basis, total borrowings expanded by R274.5m in the same period to fund the development pipeline.

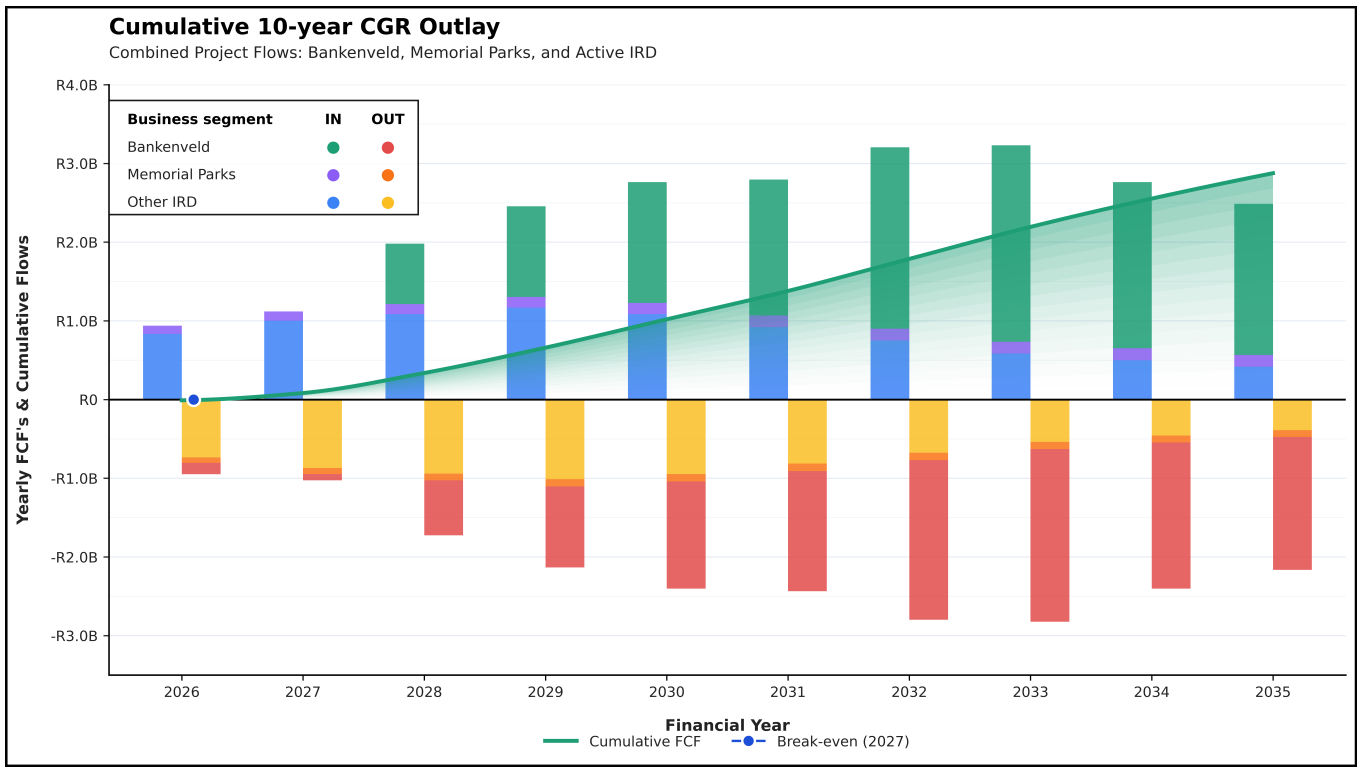
The finding is that these distributions may have been structurally funded by increasing the balance sheet's net debt profile. Returning capital to shareholders while simultaneously drawing down development facilities during the peak of a capital burn cycle introduces unnecessary balance sheet friction. The buyback mechanically improves EPS by reducing the share count - diluted EPS of 164.94 cents (FY2026) on fewer shares outstanding - and dividend declarations signal management confidence in the long-term trajectory. Neither justifies the associated leverage increase at this point in the cycle. This is not a thesis-breaking concern, but it warrants a slightly more conservative position size than the headline valuation metrics alone would suggest.

5. J-Curve Analysis

This section maps Calgro M3's project portfolio through a cash-flow lifecycle framework rather than a consolidated accounting lens. It exists because looking at this business through standard financial metrics and seeing revenue down, debt up, and margins compressed leads to a simpler set of conclusions that ignores certain nuances that may otherwise lead to an investor taking a different outcome conclusion.

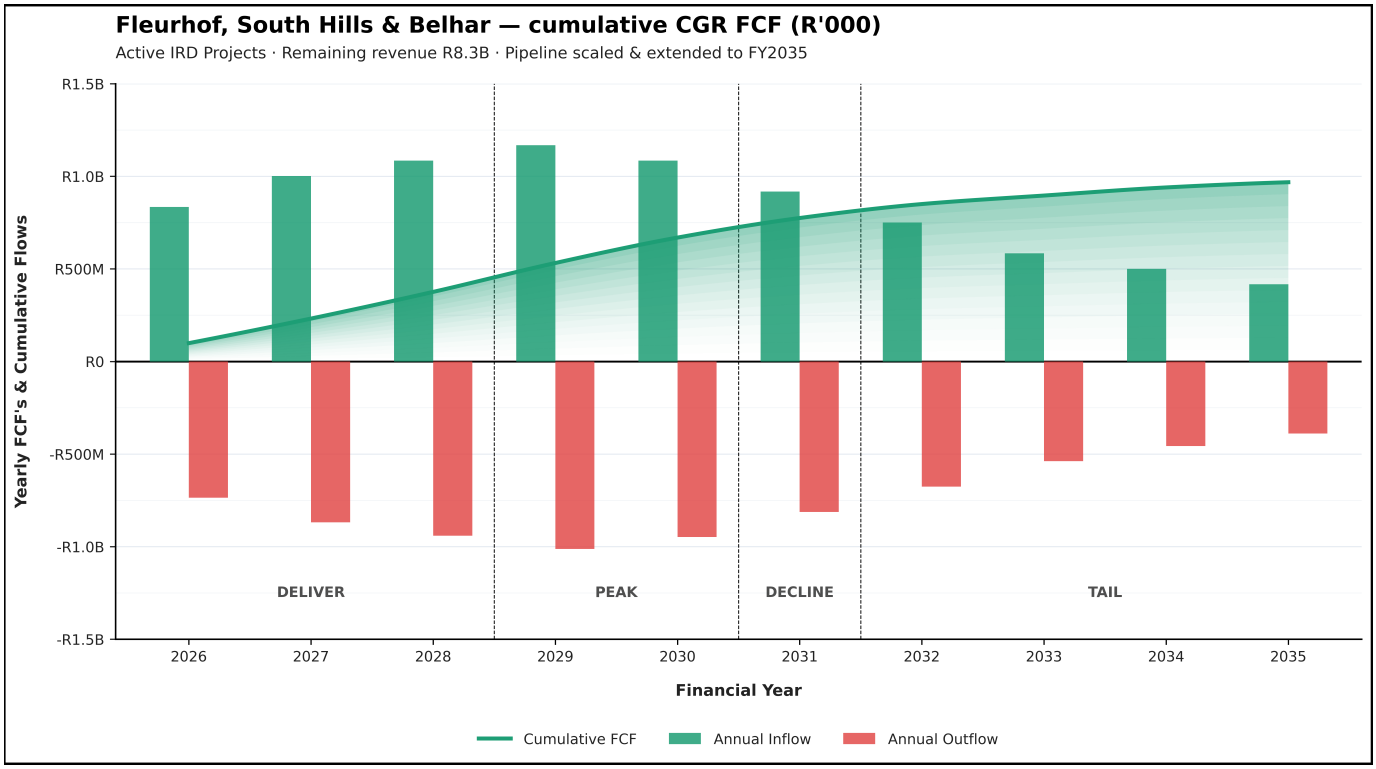
Because the core IRD segment, representing 91% of revenue, requires an intensive 18-to-36-month conversion cycle between breaking ground and final unit delivery, evaluating this business through standard backward-looking financial metrics leads to mispricing. Under IFRS, a developer's income statement is a lagging indicator - recognising value only when a deed transfers. Traditional annual reports therefore capture lumpy earnings, high upfront capital expenditure, and depressed short-term margins that mask underlying operational momentum during the initial phases of development.

J-curve analysis at the project level shifts the focus from historic consolidated accounting figures to where each asset sits in its cash-flow lifecycle. Cash is generated before it is recognised as revenue, and cash is consumed before the income statement shows any cost. The framework makes this visible



The consolidated J-curve above aggregates all three project streams, showing the portfolio crossing cumulative break-even in FY2027 and compounding toward approximately R2,88 billion in free cash flow by FY2035. The staggered inflection points mean the group is never fully dependent on a single project converting simultaneously - Fleurhof (other IRD) generating cash now, Memorial Parks maturing into annuity income across the medium term, and Bankenveld as the long-duration catalyst.

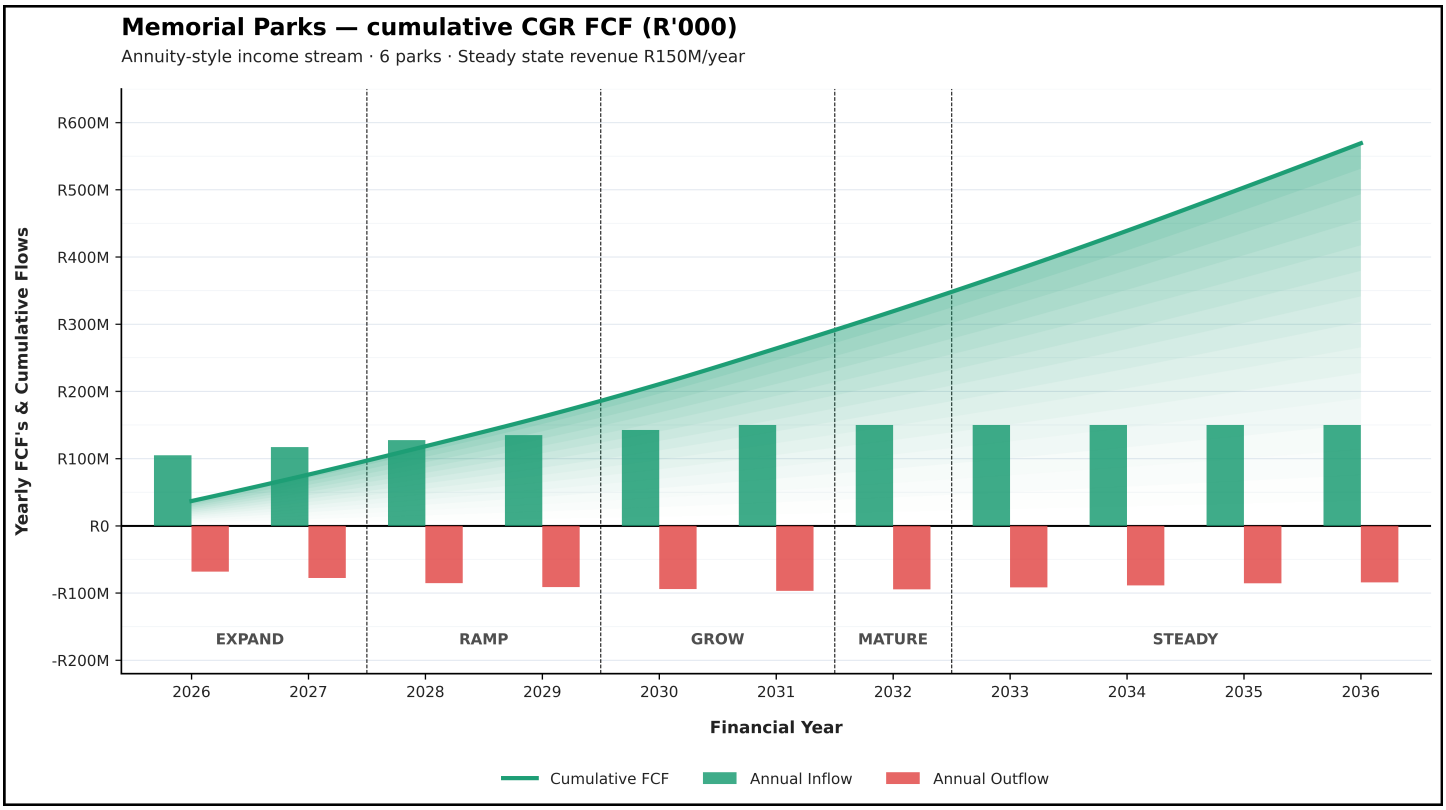
5.1 Fleurhof, South Hills and Belhar – Active IRD Projects



These active Integrated Residential Development (IRD) projects are deep into their maturity phases and function as the group's operational cash generators, having fully cleared their initial bulk infrastructure cycles. They generate positive cumulative free cash flow from the current period onward, funding and de-risking the broader capital reallocation toward Bankenveld. Management's execution discipline is evidenced by 70% of units transferred in FY2026 originated from trading out of legacy developments, channelling liquidity back into the balance sheet as opposed to holding underperforming positions.

The combined remaining pipeline of approximately R8.3 billion - confirmed in the FY2026 annual report and materially larger than earlier estimates - means this segment should continue generating cash for longer than the original model suggested. This is a genuine upside revision to the thesis relative to earlier analysis.

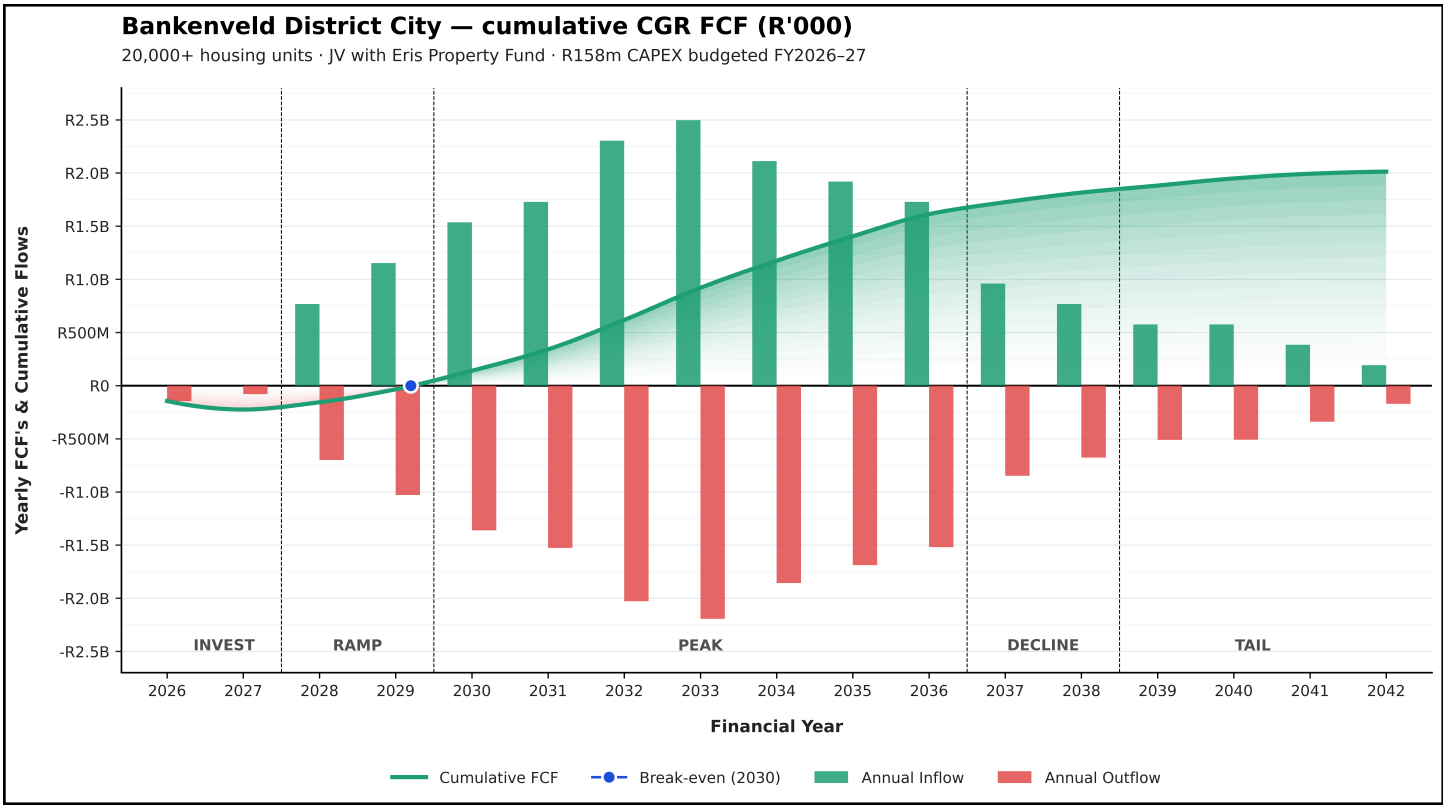
5.2 Memorial Parks



The Memorial Parks segment acts as a portfolio stabiliser, progressively diversifying group earnings away from the cyclical nature of pure property development. With six parks now operating or approaching capacity - Nasrec, Fourways, Durbanville, Enokhutula, Rustenburg, and Platinum City - the segment is scaling toward R150 million in steady-state annual revenue.

The annuity characteristics of this segment are meaningfully different from the IRD business. Revenue is driven by demographics rather than interest rates or housing demand cycles. Once a park reaches operational capacity, the ongoing capital requirements are exceptionally light relative to traditional property - making this a capital-light compounder that compounds for decades rather than years. The segment is immediately cash generative in the projection window and acts as a genuine inflow offset to the Bankenveld outflow throughout the burn phase, flooring the portfolios downside.

5.3 Bankenveld District Project



Bankenveld represents the high-conviction, long-duration strategic bet. Located directly between the Sandton and Waterfall City economic hubs, the project targets over 20,000 residential units. Structural execution risk is mitigated through a 50/50 joint operation with Eris Property Group, splitting foundational infrastructure costs.

Intensive bulk infrastructure expenditure (arterial roads, connector paths, and bridges) is budgeted across FY2026 to FY2028, demanding an initial cash burn before crossing technical break-even in FY2030. Post break-even, the initial phase is expected to yield approximately 6,000 serviced opportunities, driving compounding free cash flow toward R2 billion over the project's lifecycle through FY2042. At current market pricing, this long-duration value is entirely unpriced. The market is pricing the burn phase; the thesis is that it is ignoring the recovery.

6. Risk Analysis

6.1 Macro Risks

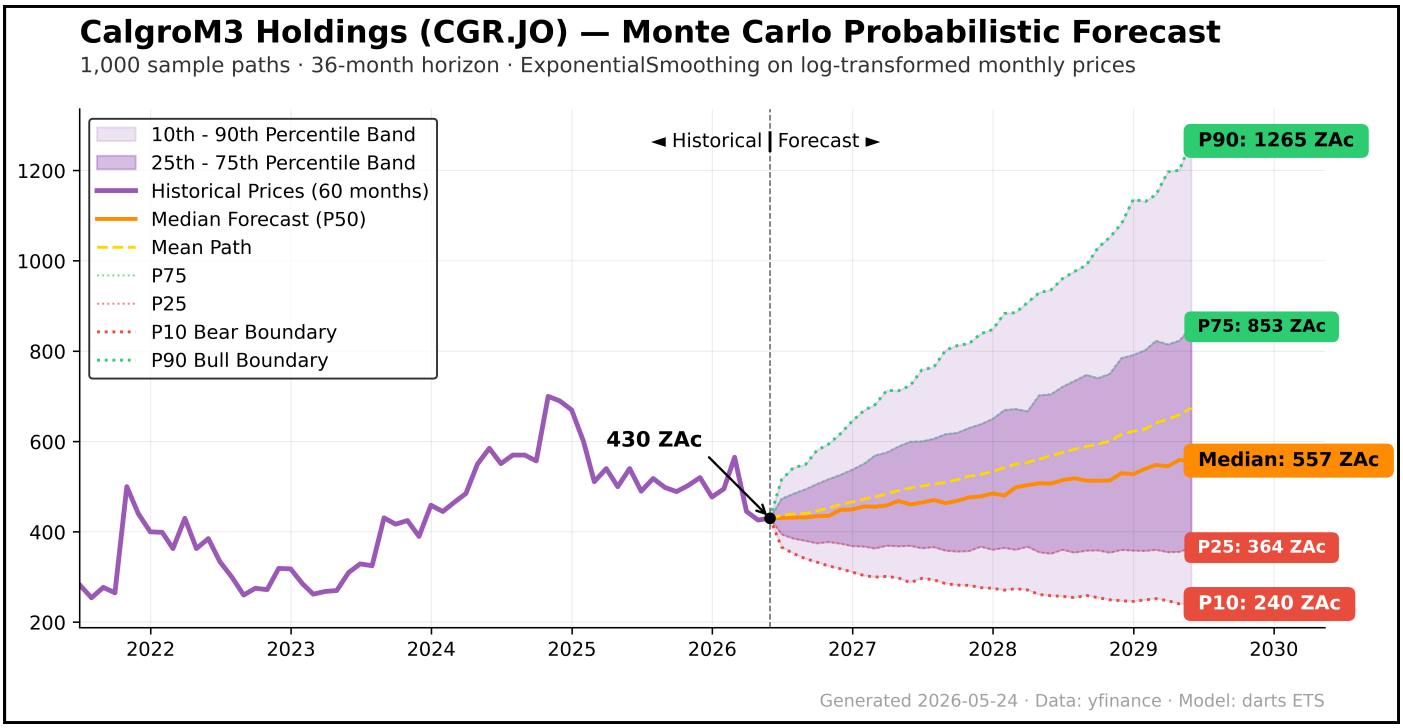
- SARB Monetary Policy: The SARB's stance (currently holding at 6.75%) is the most significant external variable. A repo rate increases to 7.25% or higher would simultaneously increase debt servicing costs, compress consumer affordability, and delay Bankenveld revenue recognition. Potential mitigant: Managements stated 1% threshold is a trackable condition and rate direction remains towards mid-term easing, even if currently paused.
- GDP Trajectory: GDP contraction reduces household income growth and government subsidy availability, severely dampening demand for affordable housing. Potential Mitigant: Affordable housing is partially government subsidised. Sustained or improved government subsidisation may provide a floor that is less correlate to consumer GDP than the open-market housing environment.

- Institutional Risk: Uncertainty around Urban Settlement Development Grants and municipal bulk infrastructure capacity may defer funding timelines and extend the Bankenveld capital burn beyond the modelled FY2027 trough.

6.2 Company-Specific Risks

- Interest Coverage & Debt Load: While interest coverage has recovered to 3.93x, the sheer size of the debt facility of R1.38 billion leaves limited margin for error if the macro environment deteriorates before Bankenveld inflects. Net Debt/EBITDA of 5.77x is elevated relative to sector norms and represents the primary financial risk.
- Capital Allocation: The structural reality of funding dividends and buybacks via debt facility expansion during a capital burn phase raises questions regarding balance sheet prioritisation.
- Municipal Bulk Infrastructure: Furthermore, recent news has surfaced regarding Eskom potential cutting municipal power connections due to non-payment and increased debt levels from municipalities in Johannesburg. Calgro cannot control the pace of municipal water, sewage, and electricity connections. Delays here directly defer revenue recognition regardless of internal execution quality.
- Revenue Lumpiness: Inherently structural to the model, creating short-term earnings volatility that shakes out impatient capital before operational inflections occur. Potential mitigant: The staggered three-project structure reduces the amplitude of earnings volatility at the group level even if individual project revenue is lumpy."
- Community Unrest and Land Invasions: Explicitly flagged in management's own risk disclosures as ongoing operational disruptions across Gauteng township developments. These events directly disrupt construction timelines and cannot be fully mitigated by planning

7. Probabilistic Outlook



Simulating 1,000 price paths over a 36-month horizon via a darts ETS model calibrated on 60 months of historical data yields a clear asymmetric distribution (greater upside potential).

From a current price of 430 ZAc the model produces the following terminal distribution at the 36-month horizon:

Scenario	Terminal Price	Return From Current
P10 – Bearish case	240 Zac	-44%
P25	364 Zac	-15%
P50 – Base case	557 Zac	+29%
P75	853 Zac	+98%
P90 – Bullish Case	1265 Zac	+194%

- The P10 bear case of 241 ZAc reflects the simultaneous materialisation of the primary risks identified in Section 6 such as repo rates sustained above 7.25%, GDP contraction reducing housing absorption, and Bankenveld execution delays pushing break-even beyond the modelled FY2030 timeline. In this scenario the NAV discount widens as the market loses confidence in the pipeline's ability to convert within any reasonable timeframe. This is a conditional outcome requiring multiple adverse events occurring simultaneously.
- The P50 base case of 557 ZAc reflects a macro environment where rates decline modestly in line with the SARB's own projections, Bankenveld progresses broadly on schedule through the infrastructure phase, and Memorial Parks contributes steady annuity income. This scenario implies a partial re-rating of the NAV discount as the construction contracts asset begins converting to recognised revenue.
- The P90 bull case of 1,265 ZAc reflects a full SARB cutting cycle materialising within the forecast window, Bankenveld achieving modelled absorption rates, and institutional investors re-rating the stock toward tangible book value as the development thesis becomes visible in reported earnings. The 1,262 cent tangible NAV per share provides the ceiling that makes this scenario financially coherent rather than speculative.

The asymmetry is the core argument. The P10 downside implies a loss 44% from current levels, while the P90 upside implies a gain of 194%. The P10 is conditional on multiple simultaneous adverse events. The P90 requires only that management executes a plan already underway in a macro environment already trending in the right direction. The probability-weighted expected return across the full distribution is materially positive, representing asymmetric upside potential and forms the quantitative basis for the recommendation.

8. Recommendation

Calgro M3 is rated **BUY** for investors with a 3 to 5-year investment horizon who can tolerate near-term balance sheet pressure and earnings volatility.

The investment case rests on three pillars.

First, the stock trades at a 65.9% discount to tangible NAV and a P/E of 2.57x on a business generating 19.1% operating margins with expanding retained income. Some discount to NAV is structurally rational for a developer with unrecognised inventory and the market is not wrong to apply one. The market is wrong about the size of that discount. As Fleurhof continues converting, Memorial Parks matures into a demonstrable annuity, and Bankenveld moves from infrastructure phase to first unit sales, the discount mechanically narrows.

Second, the three-project J-curve structure provides staggered inflection points that mean the group is never fully reliant on a single asset converting simultaneously. Fleurhof is generating cash now. Memorial Parks is maturing into annuity income. Bankenveld is the long catalyst. Furthermore, director share purchases in early 2026 confirm that those with the deepest visibility into this pipeline consider the current price attractive.

Third, the SARB rate trajectory is a named, trackable catalyst. Management has provided the market with an explicit threshold condition - 100 basis points of cuts - that is observable in real time. The direction of travel, even if currently paused, remains toward easing. When the threshold is crossed, the impact on both debt serviceability and consumer affordability for Bankenveld's target market is material and has been quantified in the sensitivity table above.

The stock is explicitly unsuitable for investors requiring near-term income or capital preservation. Rising net debt at 5.77x EBITDA, sub-cycle interest coverage, and capital allocation questions around simultaneous distributions and debt drawdown during a burn phase are genuine constraints. Position sizing should reflect this - this is an asymmetric bet on a specific outcome over a specific timeframe, not a core defensive holding.

For investors able to absorb this profile, the suggested entry range is 364 ZAc to 430 ZAc. The target exit range over the 3 to 5 year horizon is 557 ZAc to 853 ZAc as Bankenveld moves from infrastructure to revenue recognition and the NAV discount begins to close.